

enhance their presence in the space. “We have seen a rise in enquiries from global players in the industry and we understand some have already started scoping opportunities in India,” says Chhawchharia.

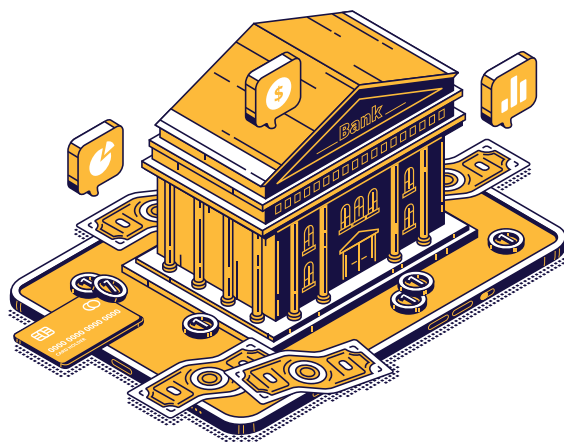
THE LEGAL POSITION

While litigation financing seems a lucrative business opportunity, there is debate around whether it is in consonance with law. Many believe that it currently operates in a grey area: nothing states that it is illegal *per se* but at the same time it does not have an explicit stamp of legal approval. “Litigation funding has caught the attention of regulatory bodies such as Sebi, RBI (the Reserve Bank of India), Irdai (the Insurance Regulatory and Development Authority of India) and PFRDA (the Pension Fund Regulatory and Development Authority). The regulators are monitoring this trend closely to ensure that it is properly regulated and does not lead to any financial misconduct or illegal activities,” says Agrawal of Regstreet.

Jain of FIGHTRIGHT says that there have been judgements in the past that favour litigation financing in India. For instance, the Supreme Court’s ruling in the Bar Council of India vs A.K. Balaji case in 2018 set a precedent by stating that litigation funding is not *per se* illegal, provided it doesn’t violate any other applicable laws. This is important as industry participants are of the view that the apex court’s rulings serve as important precedents while dealing with litigation finance.

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places, you could find associations with some amount of self-regulation. Maybe in the future there will be regulations or rulings that will benefit the industry,” says Jain. “There is money involved; there is the law itself that is involved; so there could be clearly laid down norms. The more formal it becomes, the better it is for the industry.”

In a similar context, Chhawchharia says that while there does not appear to be any “specific impediment to litigation financing in India”, one needs to remember that “contingency fee-based legal services such as class action or personal injury suits are not permissible in India”. Contingency fee-based legal services are those where a percentage of the claim is paid as fee to lawyers.

Industry watchers say that litigation financing will only grow in size as it has something to offer for all stakeholders. For litigants—especially those with limited financial resources—it is a sort of a lifeline; for lawyers, the funding ensures timely fee payments while they can focus on proper legal representation; and for investors, it means attractive returns and portfolio diversification.

Most importantly, they say, litigation financing empowers the average individual or a small company to fight against powerful adversaries and hold them responsible for their actions to create a fair and just society. “The key benefit is that litigation funding allows lawyers to provide best-in-class services to their clients,” says Chhawchharia. And it allows clients to pursue only those cases that they have a good chance of winning. **BT**

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